

State Street Corporation

Recommendation
BUY

Price
USD 193.33
(as of market close Aug 28, 2026)
12-Mo. Target Price
USD 215.00
Report Currency
USD
Investment Style
Large-Cap Value

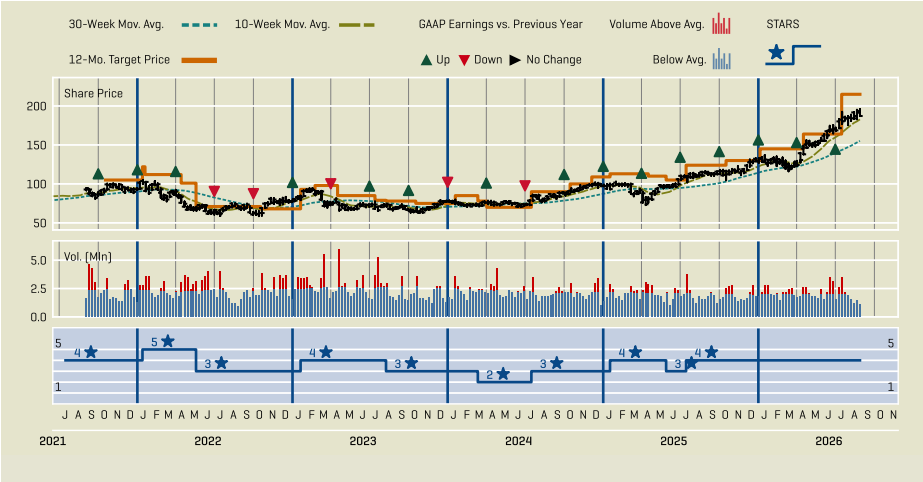
Equity Analyst
Kenneth Leon

GICS Sector
Financials
Sub-Industry
Asset Management and Custody Banks

Summary
One of the largest custody banks in the world, State Street Corp. specializes in investment servicing, asset management, investment research, and trading services.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)									
52-Wk Range	USD 195.93 - 104.64	Oper.EPS2026E	USD 13.65	Market Capitalization[B]	USD 53.12	Beta	1.42		
Trailing 12-Month EPS	USD 12.24	Oper.EPS2027E	USD 15.25	Yield [%]	1.9	3-yr Proj. EPS CAGR[%]	10		
Trailing 12-Month P/E	15.79	P/E on Oper.EPS2026E	14.16	Dividend Rate/Share	USD 3.68	SPGMI's Quality Ranking	A-		
USD 10K Invested 5 Yrs Ago	24,491.0	Common Shares Outstg.[M]	275.00	Trailing 12-Month Dividend	USD 4.28	Institutional Ownership [%]	49.0		

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by Kenneth Leon on Jul 16, 2026 03:47 PM ET, when the stock traded at USD 187.00.

Highlights

- Our revenue forecast for 2026/2027 is \$15.6B/ \$16.8B. STT's Q2 2026 revenue was \$4.0B (+17% Y/Y) with zero notable items. Fee revenue of \$3.2B (+17.2% Y/Y) was broad-based: management fees +28.7% to \$772M, servicing fees +12.6% to \$1.5B, FX trading +25.7% to \$494M. AUC/A reached \$57.9T (+18% Y/Y), AUM hit \$6.3T (+23% Y/Y) with \$114B net inflows. New servicing wins of \$87M.
- Pre-tax margin widened to 34.3% (+850 bps Y/Y). Expenses of \$2.7B (+5.1% Y/Y) rose less than revenue, generating significant operating leverage - 10th consecutive quarter of positive gains. NII grew 18% Y/Y to \$860M with NIM of 1.13% (+17 bps Y/Y). Revenue outpaced expenses due to streamlined infrastructure. Disciplined expense management supports earnings.
- We raised 2026 EPS estimate by \$1.30 to \$13.65 and 2027's by \$1.75 to \$15.25. Q2 2026 EPS of \$3.65 represented ~44% Y/Y growth ex-notables. Capital returns totaled \$1.2B in 1H 2026 (\$400M buybacks, \$233M dividends). We are also favorable on STT's transformation across the platform and deployment of AI agents. Management declared 10% dividend increase and entered "next phase of growth" with updated targets. In Q2 2026, total capital ratio was 17.8% vs. 17.0% a year ago.

Investment Rationale/Risk

- We maintain Buy rating based on higher fee revenue growth, equity market rebound, and client balances driving service fees. STT shows broad-based franchise strength with 1H 2026 results reinforcing strategic execution. We favor platform transformation and AI deployment. Strategic partnerships including One State Street, Ethic Inc., Apollo, and Saudi PIF position STT for sustained organic growth and positive operating leverage.
- Risks to our opinion and target price include weak equity markets, declines in total accounts, and geopolitical uncertainties. Risks are mitigated by custody franchise barriers, asset management earnings diversity, operational deposits providing liquidity, and strong balance sheet with limited credit risk. Benefits are tempered by secular pressures from passive investment shift.
- On July 16, we raised target price by \$51 to \$215 using forward P/E of 15.8x to 2026 earnings estimate versus three-year average of 13.5x. Higher multiple reflects robust customer demand, integrated platforms, and revenues outpacing expenses. STT trades at 500-bp discount to S&P 500. Fee-based model, disciplined execution, digital tokens, and alternatives growth should drive growth and performance.

Analyst's Risk Assessment

LOW	MEDIUM	HIGH
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Our risk assessment reflects the strength of STT's custody franchise, which enjoys significant barriers to entry, while its large asset management business adds to earnings diversity. Sizable operational deposits contribute to a robust liquidity profile, complemented by a strong balance sheet with limited credit risk. We think its disciplined expense management supports earnings in any operating environment. These benefits are tempered by secular pressures from the shift toward passive investment products. Front office software and data may report wide swings in Q/Q revenue reported, anchored by servicing and management fees.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2027	E 4,050	E 4,200	E 4,350	E 4,200	E 16,800
2026	3,796	4,048	E 3,931	E 3,825	E 15,600
2025	3,284	3,448	3,545	3,667	13,944
2024	3,138	3,191	3,259	3,412	13,000
2023	3,057	3,128	2,691	3,023	11,899
2022	3,081	2,953	2,959	3,155	12,148

Earnings Per Share (USD)					
	1Q	2Q	3Q	4Q	Year
2027	E 3.40	E 3.90	E 4.05	E 3.90	E 15.25
2026	2.84	3.65	E 3.60	E 3.56	E 13.65
2025	2.04	2.53	2.78	2.97	10.32
2024	1.66	2.15	2.26	2.60	8.67
2023	1.52	2.17	1.93	2.04	7.66
2022	1.59	1.94	1.82	2.07	7.42

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount (USD)	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.9200	Jul 14	Oct 01	Oct 01	Oct 13 '26
0.8400	May 20	Jul 01	Jul 01	Jul 13 '26
0.8400	Feb 19	Apr 01	Apr 01	Apr 13 '26
0.8400	Dec 18	Jan 02	Jan 02	Jan 12 '26

Dividends have been paid since 1971 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

State Street Corporation

Business Summary Apr 17, 2026

Corporate Overview. State Street Corporation (STT) is a leading specialist in meeting the needs of institutional investors worldwide. The company's customers include mutual funds, collective investment funds and other investment pools, corporate and public retirement plans, insurance companies, foundations, endowments, and investment managers. STT operates in more than 100 geographic markets worldwide, including the U.S., Canada, Latin America, Europe, the Middle East, and Asia. As of December 31, 2025, STT had \$53.8T of assets under custody and administration (AUC/A) and \$5.7T of assets under management (AUM).

STT reports two primary lines of business – Investment Servicing and Investment Management. Investment Servicing provides services for U.S. mutual funds, collective investment funds and other investment pools, corporate and public retirement plans, insurance companies, foundations, and endowments worldwide. Products include custody, product and participant level accounting, daily pricing, and administration; master trust and master custody; record keeping; foreign exchange, brokerage, and other trading services; securities finance; deposit and short-term investment facilities; loans and lease financing; investment manager and hedge fund manager operations outsourcing; and performance, risk, and compliance analytics to support institutional investors.

Investment Management offers a broad array of services for managing financial assets, including investment management and investment research services, primarily for institutional investors worldwide. These services include passive and active U.S. and non-U.S. equity and fixed income strategies, and other related services, such as securities finance. Its exchange-traded fund (ETF) family holds the second-place market share of AUM in the U.S.

The company's investment portfolio continues to have primary concentrations in various classes of securities, including agency residential mortgage-backed securities, commercial mortgage-backed securities and other asset-backed securities, and securities with concentrated exposure to consumers. STT's clients include mutual funds, collective investment funds and other investment pools, corporate and public retirement plans, insurance companies, foundations, endowments, and investment managers.

Servicing and management fees comprise the largest source of total fee revenue (70% of 2025's total net revenue). The level of these fees is influenced by several factors, including the mix and volume of STT's assets under custody and administration and assets under management, the value and type of securities positions held (with respect to assets under custody), the volume of portfolio transactions, and the types of products and services used by its clients. These fees are generally affected by changes in worldwide equity and fixed-income security valuations and trends in market asset class preferences. Asset-based management fees for actively managed products are generally charged at a higher percentage of assets under management than for passive products. Actively managed products may also include performance-fee arrangements, which are recorded when the performance period is complete.

Net interest income (21% of total revenue) is defined as interest revenue earned on interest-earning assets less interest expense incurred on interest-bearing liabilities. Interest-earning assets, which principally consist of investment securities, interest-bearing deposits with banks, repurchase agreements, loans and leases, and other liquid assets, are financed primarily by client deposits, short-term borrowings, and long-term debt.

Financial Trends. As of December 31, 2025, tangible book value was \$56.13 versus \$49.14 a year ago, and book value was \$87.01 and \$77.95 per share. Return of capital showed improvement in 2025, with common share repurchases of \$1.29B and \$1.06B in cash dividends. Given STT's strong results year-to-date and higher average market levels, we believe total fee revenue will likely be 8%-10%, above the five-year historical average. STT's capital position remained solid, with a CET1 ratio of 11.7% at December 31, 2025, up 80 basis points compared to a year ago.

Corporate information

Investor contact E. Lynn (617 786 3000)	
Office One Congress Street, Boston, Massachusetts, 02114	
Telephone 617 786 3000	
Fax N/A	
Website www.statestreet.com	
Officers	
Executive VP, Global Controller & Chief Accounting Officer C. J. Read	CEO, President & Chairman R. P. O'Hanley
Executive VP & Global Chief Investment Officer and Treasury P. Vaish	Executive VP, General Counsel & Corporate Secretary M. S. Shelton
Executive VP & CFO J. F. Woods	Executive VP & CTO C. Herringshaw
Executive VP & COO M. Tahiri	
Board Members	
A. C. Fawcett	R. P. O'Hanley
B. J. Porter	S. M. Gordon
D. A. DeMaio	S. P. O'Sullivan
J. A. Portalatin	S. S. Mathew
J. B. Rhea	W. C. Freda
M. A. Chandoha	W. L. Meaney
P. M. Halliday	
Domicile Massachusetts	Auditor Ernst & Young LLP
Founded 1792	
Employees 50,596	
Stockholders 1,784	

State Street Corporation

Quantitative Evaluations					Expanded Ratio Analysis					
Fair Value Rank	1	2	3	4	5		2025	2024	2023	2022
LOWEST					HIGHEST					
Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].										
Fair Value Calculation	USD 185.90	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that STT is overvalued by USD 7.43 or 3.84%								
Volatility	LOW		AVERAGE		HIGH					
Technical Evaluation	NEUTRAL	Since February, 2026, the technical indicators for STT have been NEUTRAL "								
Insider Activity	UNFAVORABLE		NEUTRAL		FAVORABLE					

Company Financials Fiscal year ending Dec 31										
Per Share Data [USD]	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Tangible Book Value	54.42	47.55	42.70	40.62	43.58	40.26	33.25	29.56	31.24	27.38
Free Cash Flow	38.11	-47.45	-0.39	30.72	-21.33	8.42	13.41	25.72	16.82	4.28
Earnings	9.40	8.21	5.58	7.19	7.19	6.32	5.38	6.39	5.19	4.97
Earnings [Normalized]	10.30	8.67	7.66	7.41	7.44	6.70	6.17	7.22	6.42	5.27
Dividends	3.20	2.90	2.64	2.40	2.18	2.08	1.98	1.78	1.60	1.44
Payout Ratio [%]	38.03	38.44	49.90	35.04	32.16	36.74	41.48	31.93	35.62	33.74
Prices: High	133.00	101.91	94.74	104.87	100.69	85.89	81.23	114.27	100.90	81.91
Prices: Low	72.81	70.20	62.78	58.62	69.02	42.10	48.62	57.87	74.45	50.60
P/E Ratio: High	12.90	11.80	12.40	14.20	13.50	12.80	13.20	15.80	15.70	15.50
P/E Ratio: Low	7.10	8.10	8.20	7.90	9.30	6.30	7.90	8.00	11.60	9.60
Income Statement Analysis [Million USD]										
Net Interest Income	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Revenue	13,885	12,925	11,899	12,128	12,060	11,615	11,746	12,116	11,264	10,197
Interest Expense	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Loan Loss Provision	59.00	75.00	46.00	20.00	-33.00	88.00	10.00	15.00	2.00	10.00
% Expense/Operating Revenue	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Pretax Income	3,731	3,395	2,316	3,327	3,171	2,899	2,712	3,101	2,995	2,120
Effective Tax Rate [%]	21.10	20.90	16.10	16.60	15.10	16.50	17.30	16.40	28.00	-1.00
Net Income	2,945	2,687	1,944	2,774	2,693	2,420	2,242	2,593	2,156	2,143
Net Income [Normalized]	2,498	2,183	1,816	2,169	2,021	1,926	1,812	2,141	2,038	1,488
Balance Sheet and Other Financial Data [Million USD]										
Total Assets	366,047	353,240	297,258	301,450	314,624	314,706	245,610	244,596	238,425	242,698
% Return on Assets	0.82	0.83	0.65	0.90	0.86	0.86	0.91	1.07	0.90	0.88
% Return on Equity	11.10	10.90	7.90	10.60	10.10	9.60	9.10	11.00	9.90	10.10
% Return on Common Equity	11.60	11.20	8.10	10.90	10.50	10.00	9.50	12.00	10.60	10.80
% Return on Capital	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

State Street Corporation

Sub-Industry Outlook

We have a positive fundamental outlook for the asset management & custody banks sub-industry. We think the long-term outlook is being aided by favorable demographic trends, like an aging population’s growing demand for retirement savings products, despite the potential for some near-term volatility as markets react to a shifting political and interest rate environment. We see upside potential for asset managers with solid reputations, better-than-average fund performance, and strong management. Many companies in this sub-industry will also benefit from recently enacted legislative initiatives designed to encourage saving for retirement.

For the alternative asset management (ALT) industry, we see multi-year secular trends that are favorable for the industry’s fundamental outlook. First, the industry should benefit from investor appetite for alternative assets to achieve a diversified portfolio, which is particularly appealing to family offices, ultra-high-net-worth clients, sovereign and endowment funds, and pensions. Second, ALT firms are moving to make their funds available to all investors through ETFs and mutual funds. And third, federal legislation to allow 401(k) plans to include ALT funds has enormous potential benefits for the ALT industry. We think ALT firms have a lot of momentum in all regions of the world for investing and fundraising, and deal-making activity (which enables monetization) appears to be resuming its upward trajectory after stalling out earlier in 2025.

Growth in assets under management (AUM) is a key driver for many firms in this industry. It’s important to differentiate between asset growth due to positive fund flow trends and asset growth due to market appreciation. AUM levels for most firms rebounded in 2026, along with the broader market averages, though this was exacerbated by continued net outflows from many actively managed asset classes, while ETF assets continued to grow. Results have varied widely by firm, depending on the level of organic AUM growth. A negative trend that continues to linger is that AUM growth does not directly translate to a

similar rate of revenue growth due to increasing amounts of AUM flowing into lower revenue-producing, passively managed assets. New ETF launches set a record in 2025 with 1,167 new ETFs launched, up from 757 new ETFs launched in 2024. Most of the new launches were actively managed funds. Year-end 2025 ETF assets totaled \$19.9 trillion on a global basis, of which about \$13.5 trillion was in U.S. ETFs.

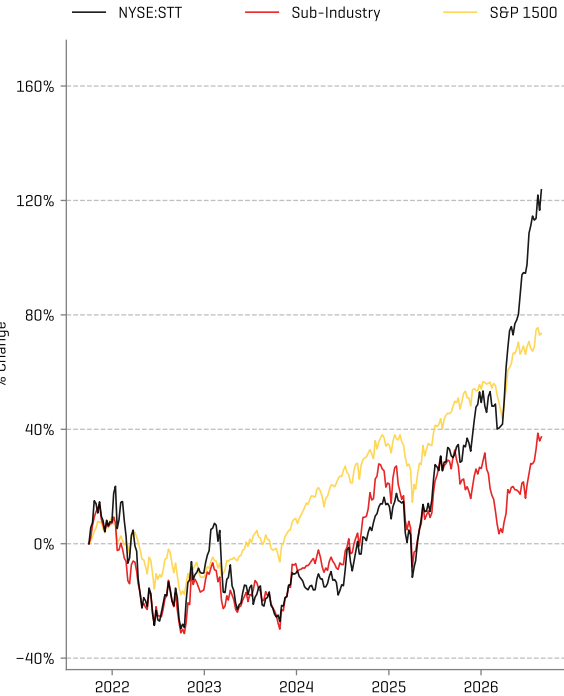
As of December 31, 2025 (latest available), assets in all worldwide open-end funds totaled \$88.0 trillion, up from \$73.9 trillion at year-end 2024. Equity assets accounted for about 48% of the year-end 2025 total asset base. Bond funds accounted for about 19% of the invested asset total, money market assets for 15%, and other funds (including real estate and balanced funds) accounted for the remaining 18% of fund assets.

Year to date through June 18, 2026, the S&P Asset Management & Custody Banks Index fell by 2.2%, while the S&P Financials Index was off by 1.9% and the S&P 500 Index advanced by 9.6%. During 2025, the Asset Management & Custody Banks sub-industry index rose by 3.9%, while the Financials sector advanced by 12.5% and the S&P 500 was up 16.4%.

/ Catherine Seifert

Industry Performance

GICS Sector: Financials
Sub-Industry: Asset Management and Custody Banks
 Based on S&P 1500 Indexes
 Five-Year market price performance through Aug 29, 2026



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
 All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).
 Past performance is not an indication of future performance and should not be relied upon as such.
Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Asset Management and Custody Banks Peer Group*: Asset Management and Custody Banks

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
State Street Corporation	STT	NYSE	USD	193.37	53,119.0	5.9	68.3	16.0	185.90	1.9	12.4	N/A
Ameriprise Financial, Inc.	AMP	NYSE	USD	555.77	49,093.0	1.7	7.2	13.0	534.14	1.2	63.4	31.1
Ares Management Corporation	ARES	NYSE	USD	142.41	32,391.0	11.3	-20.7	28.0	78.59	3.8	14.9	59.8
Brookfield Asset Management Ltd.	BAM	TSX	CAD	72.16	115,073.0	8.4	-13.8	30.0	38.36	2.8	26.8	22.5
Franklin Templeton Inc.	BEN	NYSE	USD	34.82	17,691.0	4.5	35.8	12.0	29.18	3.8	7.9	13.4
Invesco Ltd.	IVZ	NYSE	USD	33.31	14,706.0	13.2	51.1	13.0	N/A	2.6	-0.6	10.8
Northern Trust Corporation	NTRS	NasdaqGS	USD	186.27	34,079.0	3.0	41.6	18.0	149.99	1.9	17.1	N/A
Pershing Square Inc.	PS	NYSE	USD	42.12	16,848.0	24.4	N/A	1223.0	N/A	1.2	2.5	14.0
T. Rowe Price Group, Inc.	TROW	NasdaqGS	USD	112.36	23,968.0	-7.7	2.7	11.0	72.17	4.6	19.4	N/A
The Carlyle Group Inc.	CG	NasdaqGS	USD	49.24	17,546.0	6.0	-23.9	13.0	40.81	2.8	7.8	64.3

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
 NA- Not Available; NM- Not Meaningful.
 Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

State Street Corporation

Analyst Research Notes and other Company News

July 16, 2026

03:47 PM ET... CFRA Reiterates Buy Opinion on Shares of State Street Corporation [STT 187.00****]:

We raise our target price by \$51 to \$215 per share, using a forward P/E of 15.8x to our 2026 earnings estimate, versus a three-year historical average of 13.5x. Our higher multiple selected takes into account robust customer demand, more highly integrated platforms, and revenues outpacing expenses ahead. We raise our 2026 EPS estimate by \$1.30 to \$13.65 and 2027's by \$1.75 to \$15.25 on projected revenue of \$15.6B (prior \$15.4B) in 2026 and \$16.8B [\$15.7B] in 2027. Wider margins are evident from STT's streamlined cloud-based infrastructure and lower mix of run-the-bank costs. Management has more control and visibility to grow the business more dynamically with core business strengths, new trends in digital token and alternatives funds growth. We believe all of these trends should drive the fee-based business model and disciplined execution. STT shares currently trade at a 500-bp discount to the S&P 500, and capital returns were \$1.2B [\$967M in share buybacks and \$233M in dividends] in 1H 2026. / Kenneth Leon

July 16, 2026

09:21 AM ET... State Street Delivers Strong Second Quarter Revenue and Earnings Beat [STT 186.59****]:

STT delivered exceptional Q2 2026 results with EPS of \$3.65 on record revenue of \$4.0B [+17% Y/Y], marking the cleanest quarter with zero notable items versus \$138M in Q2 2025. Ex-notables EPS grew ~44% Y/Y, with pre-tax margin expanding to 34.3% [+850 bps] and ROTCE reaching 25.5% [+880 bps]. We are bullish that revenue is outpacing expenses, generating 1,226 bps of operating leverage, with broad-based fee growth led by management fees [+28.7% Y/Y] and strong AUM net inflows of \$114B. Management raised full-year guidance with fee revenue now expected up 12%-13% and NII growth of 14%-15%. Record AUM reached \$6.3T [+23% Y/Y] and AUC/A hit \$57.9T [+18% Y/Y], while capital management remained disciplined with \$631M returned to shareholders and a 10% dividend increase declared. We believe STT is well positioned with improved cost controls and strategic partnerships, as we like the company's ability to manage expenses while capitalizing on its strong asset servicing market position. / Kenneth Leon

April 17, 2026

12:57 PM ET... CFRA Maintains Buy Rating on Shares of State Street Corp. [STT 145.75****]:

We raise our target by \$19 to \$164, using a forward P/E of 13.3x our 2026 earnings estimate, compared to the three- and five-year historical averages of 13.5x and 13.0x, respectively. We think strong execution and low-teen Y/Y earnings growth are key drivers. We lift our 2026 EPS view by \$0.65 to \$12.35 and 2027's by \$1.00 to \$13.50 on projected revenue of \$15.4B in 2026 and \$15.7B in 2027. STT reported exceptional Q1 2026 results, demonstrating the strength of its diversified fee-based business model and disciplined execution. It realized return on equity of 11.6% and return on tangible common equity of 17.6%, vs 10.6% and 16.4% a year ago due to some one-time items. With book value at \$87.33 and net tangible book value at \$56.59, the current price multiples to these metrics are 1.7x and 2.6x, which we view as reasonable, provided we see earnings growth. STT shares currently trade at a 510-bp discount to the S&P 500, and capital returns were \$400M in share buybacks and \$233M in dividends in Q1 2026. / Kenneth Leon

April 17, 2026

08:53 AM ET... State Street Corp. Delivers Earnings and Revenue Beat [STT 141.62****]:

STT delivered strong Q1 2026 results with adjusted EPS of \$2.84, beating consensus of \$2.64, and total revenue of \$3.80B [+16% Y/Y] driven by broad-based fee growth. The company achieved ROE of 11.6% and ROTCE of 17.6%, with record AUC/A of \$54.5T [+17%] and AUM of \$5.6T [+20%], while maintaining cost discipline with 86 basis points of operating leverage. We view STT's improved cost controls and strategic partnerships positively as key growth drivers supporting the investment thesis. Management maintained 2026 guidance for fee revenue growth of 4%-6%, single-digit NII growth, and expense increases of only 3%-4%, targeting 100 basis points of operating leverage. We believe STT is well positioned with its strong market position in asset servicing and management, and ability to manage costs amid moderating NII growth ahead. The company returned \$633M to shareholders through \$400M repurchases and \$233M dividends, with a CET1 ratio of 10.6% providing adequate capital flexibility for continued growth. / Kenneth Leon

January 20, 2026

10:38 AM ET... CFRA Maintains Buy Rating on Shares of State Street Research Corporation [STT 125.42****]:

We keep our 12-month target price at \$145, applying a forward P/E of 12.4x to our 2026 earnings estimate, compared to the five-year historical average of 12.6x. We think strong execution and low-teen Y/Y earnings growth are key drivers. We raise our 2026 EPS estimate by \$0.20 to \$11.70 and start 2027 at \$12.50 on projected revenue of \$14.5B in 2026 and \$15.38B in 2027. STT reported exceptional 2025 results, demonstrating the strength of its diversified fee-based business model and disciplined execution. STT realized ROE of 11.3% and ROTCE of 17.5% compared to 13.9% and 21.5% a year ago due to some one-time items. With book value at \$87.01 and net tangible book value at \$56.13, the price multiples to these metrics are 1.7x and 2.6x, which we view as reasonable, provided we see earnings growth. STT shares currently trade at a 50% discount to the S&P 500. Capital management remains a priority, with \$635M returned to shareholders through \$400M in share repurchases and \$235M in dividends. / Kenneth Leon

January 16, 2026

11:28 AM ET... STT Posts Q4 Earnings Beat; Revenue In Line [STT 136.29****]:

STT reported adjusted EPS of \$2.97, an earnings beat vs. \$2.84 consensus. STT realized ROE of 11.3% and ROTCE of 17.5% compared to 13.9% and 21.5% a year ago due to some one-time items. Pretax margins rose 50 basis points to 30% compared to a year ago. STT provided 2026 guidance expecting fee revenue growth of 4%-6%, assuming conservatively flat Y/Y global equity markets versus 2025, fueled by higher average market levels and organic growth in servicing and management fees. Net interest income is guided to single-digit Y/Y growth with market-implied forward interest rates globally and NIM expansion, while expenses are targeted for only a 3%-4% Y/Y increase, leading to expected operating leverage of 100 bps higher. We view the company's improved cost controls positively as we see moderating NII growth ahead in the current environment. Management expects growth in foreign exchange trading and securities finance on higher volumes, with positive investments in technology and other growth initiatives. / Kenneth Leon

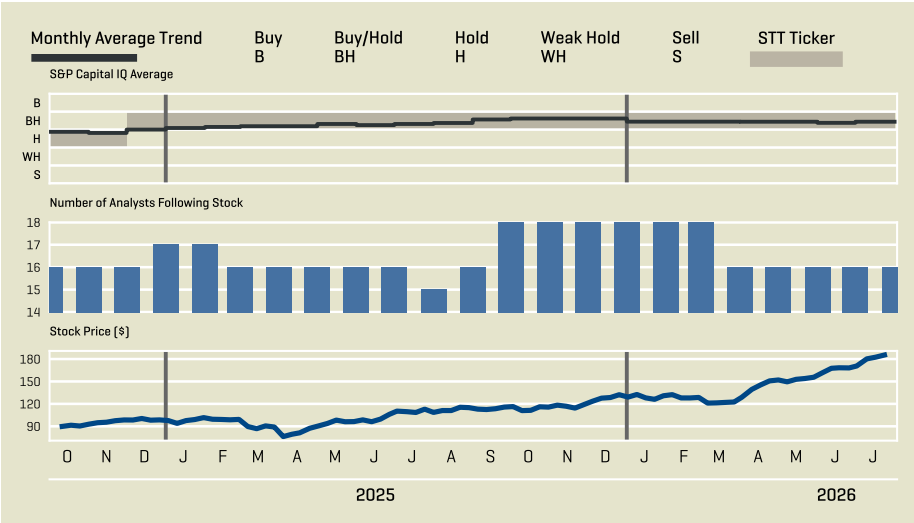
January 05, 2026

12:48 AM ET... CFRA Reiterates Buy Opinion on Shares of State Street Corporation [STT 128.41****]:

We raise our 12-month target by \$15 to \$145 applying a wider equity risk premium and a forward P/E of 12.6x to our 2026 earnings estimate, compared to the five-year historical average of 12.6x. We think strong execution and low-teen Y/Y earnings growth are key drivers. We keep our EPS estimate in 2025 at \$10.15 and 2026's at \$11.50 on projected revenue of \$13.9B in 2025 and \$14.8B in 2026. STT reported exceptional Q3 2025 results, demonstrating the strength of its diversified fee-based business model and disciplined execution. STT reported EPS of \$2.78, representing robust growth of 23% Y/Y and 28% Q/Q, significantly outpacing Q3 2024's results and showing sequential acceleration from Q2 2025 levels. It realized a ROE of 13.4% and a ROTCE of 20.9% in Q3 2025. With book value at \$85.33 and net tangible book value at \$55.57, the price multiples to these metrics are 1.5x and 2.3x, which we view as reasonable, provided we see earnings growth. STT shares currently trade at a 43% discount to the S&P 500. / Kenneth Leon

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Analysts Recommendations



Wall Street Consensus Opinion

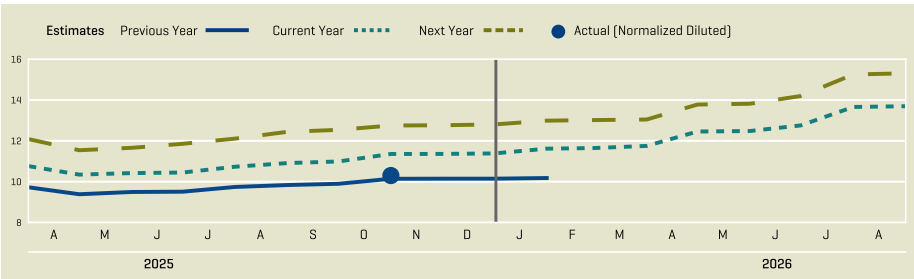
Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2026, analysts estimate that STT will earn USD 13.69. For fiscal year 2027, analysts estimate that STT's earnings per share will grow by 11.75% to USD 15.30.

	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	7	44	7	7
Buy/Hold	2	13	2	2
Hold	6	38	6	6
Weak hold	1	6	1	1
Sell	0	0	0	0
No Opinion	0	0	0	0
Total	16	100	16	16

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2027	15.30	15.75	14.63	14	12.64
2026	13.69	13.95	13.42	13	14.12
2027 vs. 2026	▲ 12%	▲ 13%	▲ 9%	▲ 8%	▼ -11%
Q3'27	4.08	4.17	4.03	5	47.35
Q3'26	3.64	3.85	3.50	11	53.15
Q3'27 vs. Q3'26	▲ 12%	▲ 8%	▲ 15%	▼ -55%	▼ -11%

Forecasts are not reliable indicator of future performance. Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

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Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index [MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index]], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share [EPS] estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
 CAPEX - Capital Expenditures
 CY - Calendar Year
 DCF - Discounted Cash Flow
 DDM - Dividend Discount Model
 EBIT - Earnings Before Interest and Taxes
 EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
 EPS - Earnings Per Share
 EV - Enterprise Value
 FCF - Free Cash Flow
 FFO - Funds From Operations
 FY - Fiscal Year
 P/E - Price/Earnings
 P/NAV - Price to Net Asset Value
 PEG Ratio - P/E-to-Growth Ratio
 PV - Present Value
 R&D - Research & Development
 ROCE - Return on Capital Employed
 ROE Return on Equity
 ROI - Return on Investment
 ROIC - Return on Invested Capital
 ROA - Return on Assets
 SG&A - Selling, General & Administrative Expenses
 SOTP - Sum-of-The-Parts
 WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



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Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of June 30, 2026

Ranking	North America	Europe	Asia	Global
Buy	44.8%	47.5%	50.5%	46.7%
Hold	42.1%	41.1%	44.5%	42.4%
Sell	13.1%	11.3%	5.0%	10.9%
Total	100.0%	100.0%	100.0%	100.0%

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